

foundation required by the cases. The court need not reach that argument. An agency relationship between J&A and the Clausens is sufficiently alleged and confirmed by J&A's own concession that it hired the Clausens to effect service, and a plaintiff is not required to allege facts demonstrating the principal's control over its agent. (See, e.g., *Dones*, p. 685.)

Because the agency relationship is pleaded, the court need not reach the sufficiency of plaintiff's aiding and abetting allegations.

Disposition

Based on the foregoing, the demurrer is **overruled**. J&A shall have 30 days to answer the SAC.

9. 9:00 AM CASE NUMBER: C24-01973
CASE NAME: DAVID WONG VS. JAFFE AND ASHER LLP
HEARING ON DEMURRER TO: 2ND AMENDED COMPLAINT
FILED BY: CHARLES SCHWAB & CO. INC.
TENTATIVE RULING:

Defendant Charles Schwab & Company, Inc.'s Demurrer to Plaintiff David Wong's Second Amended Complaint is **sustained with leave to amend**. As explained in Line 8 above, the Court concludes that Wong's SAC allegations are sufficient to allege that the Clausens committed false imprisonment. However, the Court concludes that the allegations are insufficient to state a claim that Schwab (unlike J&A) can be held responsible for any torts of the process servers.

Background

Plaintiff David Wong filed this action in July 2024. The operative pleading is the Second Amended Complaint (SAC), filed October 15, 2025. The SAC asserts a single remaining cause of action against Charles Schwab & Company, Inc. for false imprisonment arising out of a service-of-process incident on March 3, 2024.

The court has previously sustained demurrers to earlier iterations of the false imprisonment claim. J&A demurred to the original complaint, and the court sustained that demurrer on February 10, 2025, finding that plaintiff had alleged only that his car was blocked by the process server's vehicle and had not alleged facts sufficient to show he was physically restrained or that he believed, based on words or conduct, that he would not be allowed to leave. Plaintiff filed the First Amended Complaint on February 24, 2025. J&A demurred to the FAC and the court sustained the demurrer with leave to amend.

Plaintiff filed the SAC on October 15, 2025. Schwab now demurs to the false imprisonment cause of action on the ground that the SAC fails to state facts sufficient to constitute a cause of action against it. Schwab advances two principal arguments.

First, Schwab contends the SAC does not allege a false imprisonment. Schwab argues that new allegations in the SAC regarding physical blocking of the car doors and a verbal instruction to stay

contradict prior pleadings and should be disregarded as sham. Schwab further argues that the SAC's omission of the ex-military and vexatious litigant allegations from the FAC is also sham and that the court should read those allegations back in. Schwab also argues that even accepting the new allegations, the process servers' conduct would not cause a reasonable person to believe they were confined.

Second, Schwab contends that even if a false imprisonment occurred, it cannot be held liable for the Clausens' conduct. Schwab argues that plaintiff's allegations connecting it to the process servers sound in either agency or aiding and abetting, and that under either theory they fail. As to agency, Schwab argues that plaintiff does not allege that Schwab controlled the manner and means by which the Clausens carried out service. As to aiding and abetting, Schwab argues that plaintiff does not allege facts showing Schwab knew a tort was being or would be committed and acted with intent to facilitate it. Schwab also argues that all agency and intent allegations must be disregarded because they are pleaded on information and belief without the factual foundation required under *Gomes v. Countrywide Home Loans, Inc.* (2011) 192 Cal.App.4th 1149.

Schwab requests that the demurrer be sustained without leave to amend since plaintiff has had three opportunities to plead and remains unable to state a viable claim.

In opposition, plaintiff argues the SAC states a claim for false imprisonment against the process servers by alleging facts beyond a blocked driveway; specifically that both car doors were physically blocked by the Clausens' bodies, that one of the Clausens told plaintiff to stay in the car, and that plaintiff was not free to leave until they departed. Plaintiff argues these allegations were intended to address deficiencies identified in prior rulings and that prior references to driving to Safeway were not an admission that he could have left on foot on March 3, 2024.

Plaintiff also argues the SAC sufficiently connects Schwab to the process servers' conduct through allegations that Schwab and its law firm authorized a stakeout, deployed two process servers instead of one, imposed deadline pressure, declined to rehire process servers who had previously failed, and instructed that plaintiff be photographed at the time of service, etc. Plaintiff claims these are ultimate facts rather than mere speculation, and that the communications underlying them are within defendants' exclusive knowledge, making evidentiary-level pleading inappropriate before discovery can be had.

In the alternative, plaintiff requests leave to amend to add the basis for his information and belief allegations, including a phone call with Ernest Clausen in which Mr. Clausen did not absolve Schwab of responsibility for the manner in which service was carried out.

Legal Standard

A demurrer challenges the legal sufficiency of the complaint on the ground it fails to state facts sufficient to constitute a cause of action. (Code Civ. Proc. § 430.10(e); *Rakestraw v. California Physicians' Service* (2000) 81 Cal.App.4th 39, 42-43.) The challenge is limited to the "four corners" of the pleading or from matters outside the pleading which are judicially noticeable under Evidence

Code §§ 451 or 452.

On demurrer, a complaint must be liberally construed. (Code Civ. Proc, § 452; *Stevens v. Superior Court* (1999) 75 Cal.App.4th 594, 601.) All material facts properly pleaded, and reasonable inferences, must be accepted as true. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966-67.) Although California courts take a liberal view of inartfully drawn complaints, it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413.)

Analysis

(1) Sufficiency of the False Imprisonment Claim

In ruling on J&A's demurrer (Line 8 above), the Court analyzed whether Wong has adequately alleged that the Clausens committed false imprisonment, and concluded that he has. That analysis and conclusion are identically presented on Schwab's demurrer, and they are incorporated by reference here.

(2) Whether the SAC Adequately Pleads Schwab's Liability for the Conduct of the Process Servers

Civil Code section 2338 codifies the respondeat superior doctrine as follows: "Unless required by or under the authority of law to employ that particular agent, a principal is responsible to third persons for the negligence of his agent in the transaction of the business of the agency, including wrongful acts committed by such agent in and as a part of the transaction of such business, and for his willful omission to fulfill the obligations of the principal." Civil Code section 2338 "is not limited to employer and employee but speaks more broadly of agent and principal; it makes the principal liable for negligent and 'wrongful' acts committed by the agent 'in and as part of the transaction of such [agency] business.'" (*Lisa M. v. Henry Mayo Newhall Memorial Hospital* (1995) 12 Cal.4th 291, 296, fn. 2.)

An allegation of agency is an allegation of ultimate fact that must be accepted as true for purposes of ruling on a demurrer. (*Dones v. Life Insurance Company of North America* (2020) 55 Cal.App.5th 665, 685; *Kiseskey v. Carpenters' Trust for So. Cal.* (1983) 144 Cal.App.3d 222, 230; *Skopp v. Weaver* (1976) 16 Cal.3d 432, 437.) That rule does not apply where the agency allegation is made on information and belief, in which case the plaintiff must allege the information leading him to believe the allegations are true, and specific information and belief allegations control over any inconsistent general allegation. (*Brown v. USA Taekwondo* (2019) 40 Cal.App.5th 1077, 1106-1107; *Gomes*, at p. 1158; *Ferrick v. Santa Clara University* (2014) 231 Cal.App.4th 1337, 1352 [it is possible that specific allegations will render a complaint defective when the general allegations, standing alone, might have been sufficient].)

Unlike J&A, Schwab does not concede that it hired the Clausens. The SAC's general agency allegation appears in paragraph 11 and is made on information and belief. The specific allegations connecting

Schwab to the manner and means of service appear in paragraphs 78 through 94 and are also made on information and belief throughout. Specifically, the SAC alleges on information and belief that Schwab and/or J&A authorized multiple prior service attempts and became frustrated when they failed (SAC ¶ 81); declined to rehire process servers who did not succeed (SAC ¶ 82); communicated that frustration to the new process servers, authorized a stakeout, and wanted Wong served even if that meant temporarily restraining him (SAC ¶ 83); wanted Wong temporarily restrained and communicated this to the process servers, and wanted him photographed at the time of service (SAC ¶ 84); knew the process servers would temporarily restrain Wong (SAC ¶ 85); provided instructions the process servers reasonably believed authorized false imprisonment, along with Wong's vehicle description and a twenty-year address history (SAC ¶ 86); intended Wong to be temporarily restrained by imposing deadline pressure and communicating prior failures (SAC ¶ 87); instructed the process servers to follow Wong home and surprise him (SAC ¶ 89); and approved a plan to temporarily restrain Wong and provided his home address to facilitate it. (SAC ¶ 94.)

Here, the general agency allegation in paragraph 11 and the specific allegations connecting Schwab to the manner and means of service are alike made on information and belief. Neither identifies the factual basis for plaintiff's belief as required under the cases.

Plaintiff's aiding and abetting allegations present the same problem. Aiding and abetting requires that the aiding and abettor know the principal's conduct constitutes a breach of duty and give substantial assistance or encouragement to the other to so act. (*IIG Wireless, Inc. v. Yi* (2018) 22 Cal.App.5th 630, 653-54.) The SAC's aiding and abetting allegations in paragraphs 89-91 are made on information and belief without a sufficient factual basis.

Schwab argues that the SAC is further defective because plaintiff fails to allege facts showing that Schwab controlled the manner and means by which the Clausens carried out service. The cases Schwab cites, *Patterson v. Domino's Pizza, LLC* (2014) 60 Cal.4th 474, decided at summary judgment, and *Stevens v. Roman Catholic Bishop of Fresno* (1975) 49 Cal.App.3d 877, decided after a jury trial, concern requirements for proof of an agency relationship and do not state a pleading standard.

The court sustains the demurrer with leave to amend for plaintiff to specifically allege the legal theories on which he seeks to hold Schwab liable for the conduct of the process servers, and the facts supporting those theories. (*San Mateo Union High School District v. County of San Mateo* (2013) 213 Cal.App.4th 418, 441 [if there is a reasonable possibility the defect in the complaint could be cured by amendment, it is an abuse of discretion to sustain a demurrer without leave to amend].)

Disposition

Schwab's demurrer is sustained with leave to amend. Plaintiff may file and serve a third amended complaint within 21 days of the date of this order or within 21 days of service of Schwab's discovery responses (Line 10 below). If he does not do so, the case will be dismissed as against Schwab.

10. 9:00 AM CASE NUMBER: C24-01973
CASE NAME: DAVID WONG VS. JAFFE AND ASHER LLP
***HEARING ON MOTION FOR DISCOVERY TO COMPEL FURTHER RESPONSE TO DISCOVERY**